Market Watch

US Treasury buyback plan a drop in the bucket

Summary

Event: The US Treasury announced an increase in its government bond buyback programme, "at least" doubling buybacks of 10-year to 30-year debt to USD 4bn, to boost liquidity and curb a surge in long-term bond yields. Before the announcement, the US 30-year government bond yield had jumped to 5.34%, the highest since 2007.

Market reaction: Relatively muted, given the scale of the long bond sell-off in the run-up to the announcement. The US 30-year yield dropped 9bps on Wednesday, closing at 5.19%, partially retracing c. 40bps jump since end-June (especially after Fed Chair Warsh's July press briefing when he was seen as too tolerant of inflation risks). The 10-year yield fell 6bps to 4.65%, while the 2-year yield was little changed.

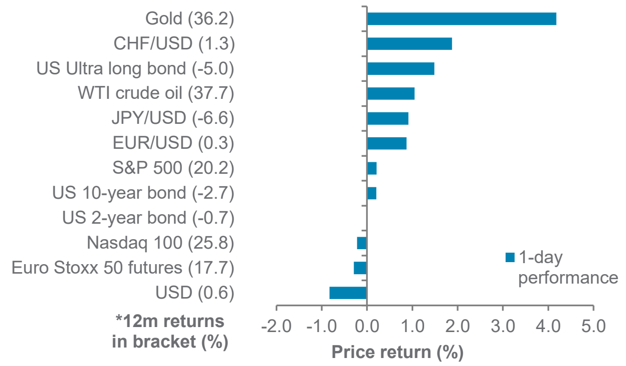
The broad USD index (DXY) fell 0.8% to a three-month low, breaking below its 200DMA, helping gold test its 200DMA around USD 4517/oz. The S&P500 stock index rose 0.2%.

Investment strategy: Doubling the "liquidity management tool" from USD 2bn to USD 4bn is small relative to the overall government bond market. Thus, this is unlikely to be a major market driver. Crucially, this is a Treasury recycling exercise, not Fed-led bond buybacks (QE). Although the initial market reaction was lower long-end yields, a weaker DXY and higher gold, markets appear to be settling down as investors recognise the announcement is not a game changer. We maintain our rangebound view on longer end yields and focus on 3-5-year maturity range in our income allocations.

Risk scenario: There is a risk that the bond buyback plan might actually make the US Treasury look desperate. It might trigger an even worse sell-off in bonds, which might start to affect broader market conditions. That might require the Fed to step in to stabilise things with some kind of real QE/yield curve management, even though Warsh has said he wants to shrink the Fed's balance sheet. If markets anticipate this, it would be DXY bearish and gold bullish.

Gold and long-term bonds rose, while the USD fell after the US Treasury's bond buyback announcement

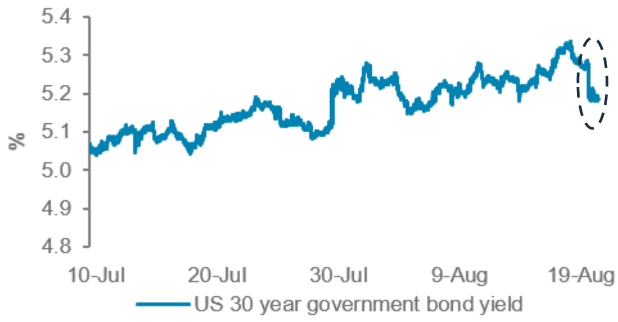
Asset performance: 18-Aug close to 19-Aug close



Source: Bloomberg, Standard Chartered

The US 30-year bond yield dropped following the Treasury announcement, but remains higher compared to just a month ago

US 30-year government bond yield intra-day movement



Source: Bloomberg, Standard Chartered

Technical and fundamental backdrop

Technical backdrop: While the doubling of the bond buyback announcement may sound dramatic, it is essentially an expansion of the US Treasury's existing liquidity management tool. The Treasury has long used buybacks to support secondary-market liquidity in off-the-run Treasuries by issuing lower-yielding short-term debt and buying back higher-yielding longer-dated, not-yet-matured securities where trading depth is thinner.

This is part of a plan the Treasury has followed since the prior Biden administration when former Treasury Secretary Yellen sought to replace issuance of longer-term debt with shorter-term bills to curb long-term bond yields. Current Treasury Secretary Bessent has maintained Yellen's plan and now has proposed to double the amount of buybacks of 10-30-year government bonds to at least USD 4bn. Nevertheless, this is a drop in the bucket in the market for marketable Treasuries totalling USD 30tn.

Fundamental drivers: The real drivers of higher bond yields are a large structural US fiscal deficit and increased uncertainty around the US fiscal and monetary policy outlook. The US fiscal deficit in the first 10 months of the current fiscal year has risen 5% to USD 1.8tn. Meanwhile, US national debt just crossed USD 40tn and there are few signs that this is likely to reverse anytime soon, especially with US defence spending rising. The recent deluge of bond supply from AI hyperscalers has spooked the bond market further, raising the term premium. This backdrop points to elevated long-term yields.

However, bond markets are ultimately likely to be driven by macro fundamentals. The recent run of US macro data (softer payrolls, cooling inflation and drop in retail sales) has been supportive of our long-held view that US inflation peaked in Q2. Long-term inflation expectations have remained subdued all along.

Meanwhile, the US statistical agency is also revising the way its measures PCE inflation data, specifically portfolio and wealth management services, computer software and legal services. These revisions in end-September are likely to retroactively revise US core PCE inflation numbers lower over the past five years. Gradual disinflation over the coming quarters – as pressure from oil prices and tariffs fade – should lower US core inflation towards its 2% target by 2027.

Our Fed view: A hike in September now looks unlikely, given the latest run of data. The modern Fed has never hiked shortly after a negative payroll print.

Our base case remains that the Fed will not hike this year as disinflation continues, with impact of tariff and tax refunds fading and with imminent downward revisions to past inflation

The 30-year US government bond yield has surged well above 5% to its highest in almost two decades amid concerns about fiscal and monetary policies

US 30-year government bond yield since 2006

Source: Bloomberg, Standard Chartered

The USD slumped as the Treasury buyback plan, combined with earlier FX intervention to boost the JPY, is seen as an effort to soften the USD

USD index

Source: Bloomberg, Standard Chartered

data. Nevertheless, two things could potentially change that next year. First, inflation reheating due to higher oil prices or due to persistent techflation caused by the AI boom — a couple of consecutive core prints nearer 0.3 percent would revive the case.

Second, the bond market. With Warsh refusing forward guidance and the term premium rising, an under-delivering Fed, along with concerns about the soaring US fiscal deficit, has arguably driven the 30-year US government bond yield well above 5% to its highest in almost two decades. There's an outside chance that a further bond sell-off could force an insurance hike, despite Warsh's preference for unchanged policy settings.

Watching Jackson Hole: Warsh's speech at the Fed's annual Jackson Hole summit next week will be watched closely for signs of whether his resolve to hold is cracking. We believe Warsh will want to sound hawkish to establish his inflation-fighting credentials, but give little forward guidance. That leaves us watching the data closely, especially the forward-looking inflation indicators and jobless claims numbers.

Equity market implications: Falling yields should generally be positive for equity valuations. From a sector perspective, gold miners should benefit from the rise in gold prices, while materials and mining sector benefits from stronger commodity prices. A lower cost of capital would also benefit software, small caps and "long duration" companies – these are companies whose expected profits are weighted more heavily to the long term with relatively little or no profits in the short term.

FX, Gold implications: Gold rallied strongly even before this announcement and built on these gains overnight. We remain bullish on gold. While the size of this increased bond purchases is very small in the scheme of things, its signalling impact in the FX markets could be sizeable. If you add this to the FX intervention in the Yen market earlier this month, it fits with a policy desire to push the US dollar weaker.

While there is not an obvious strong currency to benefit, gold is probably the best way to play this view. The key risk is if the move backfires, putting upward pressure on real bond yields and on the Fed to hike rates, then this could be a significant headwind for gold.

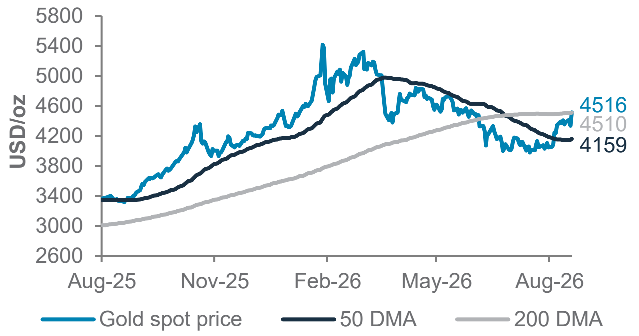
— ***Rajat Bhattacharya,*** *Senior Investment Strategist*

Jonathan Liang, *CIO for Fixed Income and FX*

Fook Hien Yap, *Senior Investment Strategist*

Gold benefitted from a weaker USD and is now testing its 200DMA on the uptrend

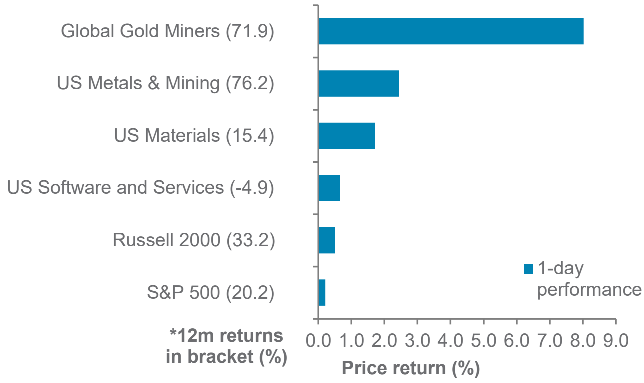
Gold price and its 50- and 200-day moving average



Source: Bloomberg, Standard Chartered

Gold miners led overnight gains in equities, driven by the rise in gold prices, with materials and mining sector benefitting from stronger commodity prices

Equity indices performance: 18-Aug close to 19-Aug close



Source: Bloomberg, Standard Chartered

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Market Watch

Fed holds rate in 9-3 vote

Summary

Event: The Fed held rates, as we expected, with 9 out of 12 policymakers opting to review more incoming data before assessing whether a rate hike is required. This compares with a unanimous decision to hold rates at the June meeting, the first under new Chair Kevin Warsh. Going into this meeting, markets were pricing c. 35% probability that the Fed would deliver a surprise rate hike last night.

Market reaction: Money markets pared back expectations of a Fed rate hike by year-end by about 10bps, now pricing 33 bps in hikes. Lower market pricing of hikes dragged the US 2-year bond yield towards 4.22%, from 4.33%, before the yield recovered some lost ground with higher oil prices. The USD dropped about 0.5% along with lower short-term yields.

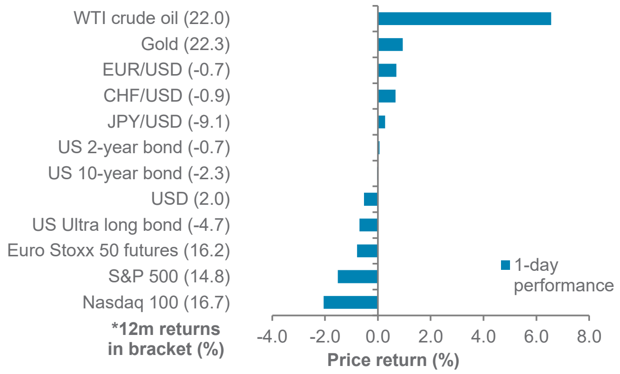
However, longer-term bond yields rose amid concerns Warsh may be not fully committed to fighting inflation. The 10-year yield rose 5bps, but failed to break above 4.7%, while the 30-year yield jumped 10bps to 5.22%, its highest since 2007. US equity markets initially rose, before losing ground amid some disappointing earnings and as oil prices rose.

Investment strategy: The Fed decision supports our view that the Warsh-led Fed would prefer to wait for more data and the outcome of Warsh's task forces (reports expected by year end) on 'AI and productivity' and more real-time economic indicators before deciding on the future path of rates. We expect the Fed to hold rates for the rest of year. We continue to prefer 3-5-year maturities in bonds, where yields are likely to fall as rate hikes are priced out. Inflation-protected bonds remain our preferred hedge against oil-driven inflation risks.

Lower short-term US yields may support EUR, CHF, AUD and Asian currencies against the USD, while higher long-term yields and renewed oil risks could limit USD downside. While rising long-term yields remain a headwind, equity markets are likely to turn their focus to earnings. We believe continued earnings beats and acceleration in AI monetisation are likely to drive equity market outperformance in the second half of this year.

US equities and long-term bonds fell on Wednesday amid a rebound in crude oil prices and concern the Fed is less committed to fighting inflation

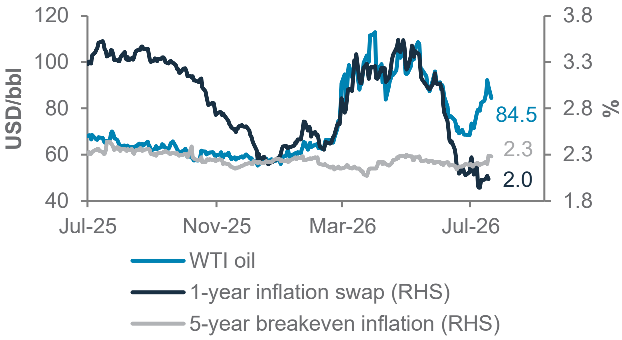
Asset performance: 28-July close to 29-July close



Source: Bloomberg, Standard Chartered

We expect the Fed to hold rates for the rest of the year and cut in H1 2027 as inflation gradually returns towards its 2% target with the pullback in oil prices

US crude oil price, 1-year and 5-year inflation expectations



Source: Bloomberg, Standard Chartered

A more data-dependent Fed

No hawkish surprise. The Fed hold doesn't come as a surprise to us. Coming into the meeting, markets were getting a little jittery — pricing in around a 35% chance of a surprise rate hike. That's up from just 10% a couple weeks ago. The narrative in a segment of the market was about new Fed Chair Kevin Warsh wanting to cement his inflation-fighting credentials. But in the end, he convinced his colleagues to sit tight and wait for more data before deciding anything for now. Nine out of the 12 Fed policymakers voted to keep the policy rate on hold, while three policymakers - Dallas Fed President Logan, Cleveland Fed President Hammack and Minneapolis Fed President Kashkari - dissented, voting for a hike.

Fundamentals argue for a hold. The overwhelming majority decision to hold rates makes sense. The job market isn't overheating; it's balanced after softening a bit in June. Core inflation has been well-behaved too; core CPI came in flat m/m in June. Wage growth, the main determinant of medium-to-long-term inflation, is slowing. Oil prices, despite day-to-day volatility tied with Middle East headlines, have cooled off back into that USD 70-90/bbl range. So there was no urgent reason for the Fed to pull the trigger.

The post-meeting Fed statement noted: "Economic activity is expanding at a solid pace despite elevated uncertainty that owes, in part, to the conflict in the Middle East. Productivity growth and capital investment are strong. Job gains have kept pace with the workforce, and the unemployment rate has changed little."

Nevertheless, the Fed statement and Warsh in his post-meeting comments acknowledged still-elevated inflation, which it partly ascribed to supply shocks, especially in the energy sector. Warsh reiterated "the committee will deliver price stability" and aim to get inflation back down to the central bank's 2% target. This is similar to Warsh's playbook from his first meeting. That matters, because just talking tough had already tightened financial conditions and pushed up short-term bond yields: tighter financial conditions reduces the need for the Fed to actually having to hike.

Nevertheless, this strategy can't be pushed too far, as the latest reaction from longer-term bonds shows. Ultimately, incoming data will determine long-term inflation expectations. While they remain anchored for now, the Fed will have to act if incoming data show the job market (and wage growth) is heating up again, or oil prices stay higher for longer, adding to 'techflation' pressures. We remain sceptical, given the impact of AI on job creation and our base scenario that oil prices are likely to trade in the USD 70-90/bbl range.

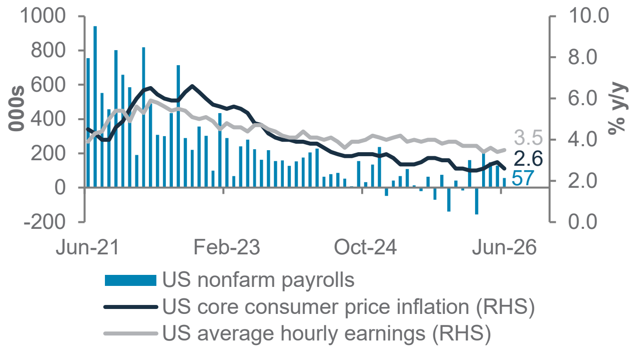
Money markets pushed up Fed rate hike expectations ahead of the July policy meeting

Money market estimates of Fed rates by Dec 2026 and June 2027

Source: Bloomberg, Standard Chartered

US job creation, core consumer inflation and wage growth have slowed over the past couple of years, reducing the urgency for Fed rate hikes

US monthly non-farm payrolls, core consumer inflation and average hourly earnings growth



Source: Bloomberg, Standard Chartered

Investment implications

On equities: A straight-up hold is neutral-to-positive for equities, as the initial reaction in equity markets showed. Some (though not all) of those July rate-hike fears just got pushed out to September or Q4. Although rising long-term bond yields remain a headwind, the spotlight is likely to swing back to Q2 corporate earnings. So keep an eye on US corporate earnings in the coming days to see whether earnings are broadening beyond the tech sector, as we expect. That is likely to be the market's fundamental support.

On bonds: The Fed's rate hold dragged short-term US government bond yields lower as markets pared back rate hike expectations by year-end. However, longer-term bond yields rose after the meeting amid concerns Warsh is not fully committed to fighting inflation. Nevertheless, investor positioning is extremely bearish, which is likely to limit further rise in yields.

The 10-year yield is likely to face strong resistance around last year's high of 4.8%. However, if Middle East tensions de-escalate and oil falls in the coming months, the 10-year yield could break below 4.60%, triggering some short-covering, potentially dragging the yield down to the 4.25 to 4.5% zone.

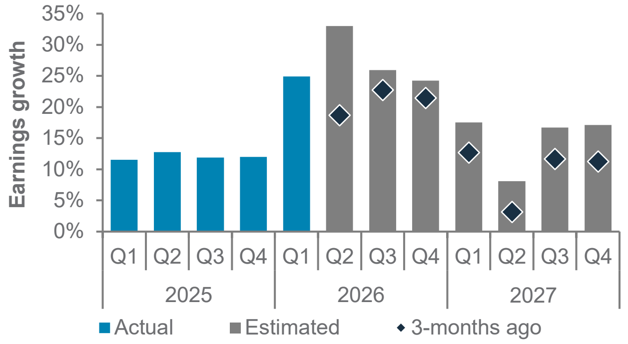
US inflation protected bonds are particularly attractive, especially as a hedge against energy-price driven inflation, with the real (inflation-adjusted) 10-year yield at 2.4%, close to the highest since 2008.

On the dollar: The Fed's clear 9–3 decision to hold rates reduced expectations of an immediate rate hike and weakened the USD, but it did not mark a clear dovish policy shift. Investor positioning on the USD has been super-bullish, around the 85th percentile. So, a Fed hold sparked some position-squaring. Lower short-term US yields may support EUR, CHF, AUD and Asian currencies, while higher long-term yields and renewed oil risks could limit further USD downside. The BoJ policy decision tomorrow is likely the next major catalyst for global FX markets.

— ***Rajat Bhattacharya,*** *Senior Investment Strategist*

US Q2 earnings growth estimates have been revised sharply higher heading into the earnings season

Consensus estimates of MSCI US earnings growth y/y



Source: Bloomberg, Standard Chartered

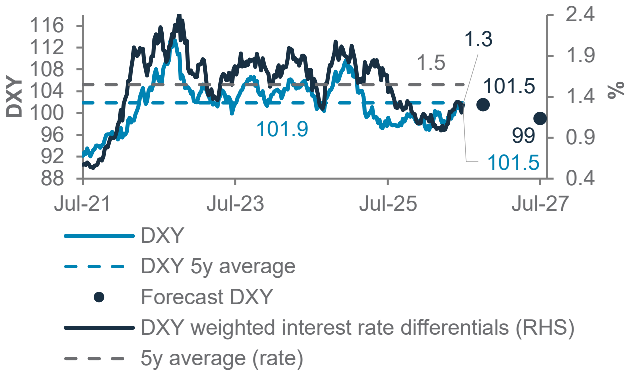
US real yields are approaching their highest level in almost two decades

US 10-year real (net-of-inflation) bond yield

Source: Bloomberg, Standard Chartered

US interest-rate differential vs its largest trade partners has stalled around the five-year average; we see modest downside risk in USD in the next 12 months

USD index (DXY), weighted interest rate differentials and five-year average



Source: Bloomberg, Standard Chartered

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